

Principles of Value



Anticipation

The value of property today is the current value of the total anticipated future benefits. For example, a commercial property is leased for \$12,000 per year for 30 years. The value of the property is based on the income that is expected to be received in the future.



Competition

The more similar properties that are on the market, the lower the price will be driven. Competition is related to supply and demand. The greater the supply (the more competition), the lower the demand (and price). Less competition increases demand and drives pricing upward.



Conformity

Value is created and maintained when the characteristics of a property conform to the demands of the market. For example, a house built in the middle of a commercial zone (due to zoning changes) would be valued differently than a house in the middle of a neighborhood made up of similar houses.



Contribution

A change in a property impacts the value as a whole. Does converting a garage into a family room contribute to or detract from value? That would be in the eyes of the buyer.



Highest and Best Use

This is the most profitable use that is both legal (conforms to zoning) and economically feasible (won't cost more than the increase in value).



Plottage

The joining or assemblage of two neighboring land parcels increases the property value. In such a case, 1+ 1 often equals 3 or even 5. So two parcels worth \$40,000 separately might be worth \$120,000 when joined.



Regression

This is the value a higher-quality property loses by being near a lower-quality property.



Progression

This is the value a lower-quality property gains by being near a higher-quality property. For example, your neighbor builds on a second story in a quality remodel. The bump in value that your property receives is progression.

Progression and regression are based in the economic belief that it's better to have the cheapest house in the nicest neighborhood than the nicest house in the cheapest neighborhood.



Substitution

A property's value is determined by what it would cost to purchase a similar substitute property. If someone offered you a car that is an exact replica of another car but was \$3,000 less, it would impact your perceived value of the other car.